

Maricopa County

Basic Financial Statements – Notes

Financed Purchases

The County has acquired vehicles, computer systems, and equipment under contract agreements at a total purchase price of \$21,136,447. The following schedule details debt service requirements to maturity for the County's financed purchases at June 30, 2025.

Year Ending June 30	Governmental Activities	
	Principal	Interest
2026	5,894,809	277,474
2027	15,241,638	590,461
Total	<u>\$ 21,136,447</u>	<u>\$ 867,935</u>

Leases

The County, as a lessee, has acquired the right-to-use building space, equipment, and vehicles under the provisions of various lease agreements. For all leases in excess of 12 months and that do not have mutual termination provisions, does not transfer ownership of the asset to the County during the lease, are exchange or exchange-like transaction, and meet the threshold where the present value of the minimum lease payments is \$500,000 or more, the County recognizes a right-to-use lease asset and a corresponding lease liability. The right-to-use lease asset is initially measured at the value of the lease liability, plus any payments made prior to lease commencement, plus direct cost incurred to place the asset into service, less any incentives received prior to commencement. For additional information refer to Note 10 - Capital Assets.

The total amount of lease assets and the related accumulated amortization are as follows:

Intangible right-to-use lease assets being amortized	\$ 59,721,123
Less: accumulated amortization	<u>16,974,236</u>
Carrying value	<u>\$ 42,746,887</u>

The following schedule details minimum lease payments to maturity for the County's leases payable at June 30, 2025:

Year ending June 30	Governmental Activities	
	Principal	Interest
2026	6,570,050	1,537,538
2027	6,353,742	1,313,930
2028	6,574,850	1,089,017
2029	6,895,926	854,586
2030	5,668,842	620,732
2031-2035	10,593,137	1,389,966
2036-2040	3,074,724	260,010
2041-2045	385,559	52,311
2046	78,289	1,706
Total	<u>\$ 46,195,119</u>	<u>\$ 7,119,796</u>

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Subscription-based information technology arrangements (SBITAs)

The County has obtained the right-to-use various Software as a Service (SaaS) cloud based systems, enterprise resource planning software, payroll and human resources software, property appraisal software system, and other desktop and server software under the provisions of various subscription-based information technology arrangements (SBITA). For all IT software subscription arrangements in excess of 12 months and that do not have mutual termination provisions, do not transfer the ownership of the asset to the County at the term of the subscription, are exchange or exchange-like transactions, and meet the threshold where the present value of the minimum subscription payments is \$1,000,000 or more, the County recognizes a right-to-use the SBITA asset and a corresponding SBITA liability. The right-to-use SBITA asset is initially measured as the initial subscription liability amount, plus payments associated with the SBITA contract made to the SBITA vendor before commencement of the subscription term, plus capitalizable initial implementation costs, less any incentives received prior to commencement. For additional information refer to Note 10 - Capital Assets.

The total amount of SBITA assets and the related accumulated amortization are as follows:

Intangible right-to-use SBITA assets being amortized	219,298,395
Less: accumulated amortization	97,144,742
Carrying value	<u>122,153,653</u>

The following schedule details minimum subscription payments to maturity for the County's subscription liability at June 30, 2025:

Year ending June 30	Governmental activities	
	Principal	Interest
2026	29,641,502	3,237,535
2027	16,879,807	2,160,934
2028	11,832,478	1,580,587
2029	10,249,015	1,172,381
2030	9,260,401	824,525
2031-2035	12,469,847	1,292,584
2036-2037	1,781,437	86,112
Total	<u>\$92,114,487</u>	<u>\$10,354,658</u>

Funding Source for Governmental Activities Liabilities

Governmental Activities Liabilities	Funding Source
Certificates of participation	County Improvement Debt Fund
Pledged revenue obligation	Pledged Revenue Obligation Debt Fund
Financed purchases	County Improvement Debt Fund, General Fund
Leases	Various funds
Subscription-based information technology arrangements	Various funds
Reported and incurred but not reported claims	Risk Management Fund and Employee Benefits Trust Fund (Internal service funds)
Liability for closure and postclosure costs	General Fund

Legal Debt Margin

County indebtedness pertaining to general obligation bonds may not exceed six percent of the value of the County's taxable property ascertained by the last assessment. However, with voter approval, the County may become indebted for an amount not to exceed fifteen percent of such taxable property. At June 30, 2025, the allowable six and fifteen percent limits were \$6,747,588,629 and \$16,868,971,571, respectively. The County had no outstanding general obligation debt at June 30, 2025 and was therefore within the legal debt margin.

Notes to the Financial Statements

(Continued)

Annual debt service requirements to maturity are as follows:

<u>Year Ending June 30</u>	<u>Principal</u>
2026	\$ 11,381,757
2027	566,908
2028	591,215
2029	615,961
2030	643,332
2031-2035	46,229,069
2036-2040	950,000
Total	<u>\$ 60,978,242</u>